

PITCH — 2587.T — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy. The reason we were interested (Japanese non-alcoholic beer) is not owned by this company; what *is* here is a fairly-priced global soft-drink operator earning roughly its cost of capital, so we take no position and keep two named reopen triggers alive.

What we believe

Suntory Beverage & Food (2587.T, Tokyo Prime, ¥4,519, market value about ¥1,396bn) is a ¥1.83T-revenue soft-drink manufacturer. We came to it because the principal noticed how good Japan's non-alcoholic beer products have become — All-Free, のんある気分, のんある酒場. Those products are made by サントリー株式会社, the **private** alcohol arm of Suntory Holdings. They are not in this listed company. Suntory Holdings owns 59.48% of 2587, but ownership runs the wrong way: 2587 is the subsidiary, so none of the parent's non-alcoholic beer revenue flows into the shares we could buy.

Second, the category itself is small. Japan's whole beer-taste non-alcoholic market is about ¥105bn in 2026 and growing roughly 3% a year. Even if 2587 captured all of the growth, it would be rounding error against ¥1.83T of revenue.

Third, the operating business is weaker than the headline. First-half revenue rose 11.6% and operating profit rose 3.0% — but strip out the weak yen and revenue grew 5.4% and **operating profit fell 5.4%**. Three-quarters of segment profit is earned outside Japan (Japan contributed ¥21,325M of ¥87,020M). So a yen-funded purchase on a “Japanese consumer” idea would actually buy a foreign-earnings translation book that shrinks if the yen strengthens.

Fourth — and this is the part that survived our own attempt to kill it — the balance sheet is genuinely clean and the price is genuinely fair, not expensive: about ¥144bn net cash, roughly 8.1x enterprise value to operating profit, 1.03x book, 15.7x earnings, 2.65% dividend. But return on equity is **7.03%**, which is approximately the company's cost of equity. A business earning its cost of capital is correctly valued at book. There is no re-rating without an improvement in returns, and nothing in front of us supplies one.

One live thread we are deliberately not closing: the Suntory Oceania venture (Beam Suntory + Frucor Suntory, Australia mid-2025, New Zealand 2026) appears to have landed inside 2587's Oceania segment, which grew revenue to ¥60,011M, **+69.7% (+49.0% excluding currency)**. If that consolidation includes alcohol and zero-alcohol drinks, then 2587 *is* a real drinks-substitution vehicle — just in Australia and New Zealand instead of Japan. We do not yet have the consolidation accounting.

What the market believes

The market believes this is an ordinary, fairly-priced staples business. Analyst consensus for full-year operating profit is ¥153,575M against company guidance of ¥155,000M — a 0.9% shortfall, which is in line, not a warning. Consensus was **unrevised** week-over-week. The consensus target price is **¥4,822, about 6.7% above the current price**, with a Neutral rating. The stock trades 16.3% below its 52-week high (¥5,399) and 10.1% above its 52-week low (¥4,104), which reads as ordinary de-rating in a cost-pressured Japanese beverage sector, not distress.

The market also already knows about the one governance angle. Zena Investment Management filed a 5.09% stake on 2026-01-19, disclosed as **pure investment** — explicitly not a proposal to management. That has been public and press-covered for eight months, and a 59.48% parent blocks any takeover or forced change anyway.

Why we might have edge

Honestly, most of our edge here is *negative* — knowing why not to own it, which has value as an exclusion but does not generate a position.

1. **Entity perimeter.** We resolved which legal entity actually books the products that generated the interest, before valuing anything. That is not something a consumer-buzz screen does, and it is the whole answer to this case.
2. **The Australia/New Zealand consolidation.** A segment growing 69.7% inside an otherwise flat company is under-discussed. If it carries better margins than the Japan segment's 5.9%, the mix story is different from the one being modelled.
3. **A gap between what management said out loud and what they filed.** On the August 6 call, the president reportedly quantified Middle East-related cost pressure at about ¥6bn in the first half and “up to ¥12bn” in the second — roughly 7.7% of the ¥155bn full-year operating profit guide. The filed results describe “higher raw material and logistics costs” without a number, and leave guidance unchanged. **Caveat: we could not reach the transcript at its source, so this is unconfirmed.**
4. **An unquantified hole sitting outside guidance.** The results filing notes damage from the July 2026 Kumamoto earthquake at the Suntory Kyushu Kumamoto plant, which produces Tennensui, the largest Japanese brand. The impact is “under investigation” and is therefore not inside the unchanged ¥155bn forecast. Importantly, the filing says the plant is **contracted** (委託), not owned — so this is a supply and volume risk, not a write-down of our assets.

Why it might be priced in

- The analyst target is **above** the current price and consensus is unrevised. The street is not panicking about the cost pressure, which means either they have it modelled or nobody has it modelled — and we cannot tell which.
- 15.7x earnings and 1.03x book for a 7% return-on-equity staples business is arithmetically correct pricing, not a discount.

- Cost inflation in Japanese beverage packaging and freight is a sector-wide, widely-reported condition.
- The Zena stake is eight months old, press-covered, and declared passive. Anything that stake was going to do to the price has had two full quarters to do it.
- Our own scenario-weighted fair value (below) lands at ¥4,813 against a consensus target of ¥4,822. We differ from the street by 0.2%. That is not an edge; that is agreement.

What could go wrong

Three ways this ends badly, ranked by how likely we think each is.

1. We buy a fairly-priced foreign-earnings book and the yen strengthens. (Most likely.) Three-quarters of segment profit is earned outside Japan. Reported operating profit only rose because the yen was weak; on a constant-currency basis it fell 5.4%. If we fund a purchase in yen and the yen appreciates, the translation tailwind reverses into a headwind on a company whose underlying operating profit is already shrinking. We would be long a currency trade we never intended to put on. *Tripwire: monitorable* — USD/JPY and EUR/JPY levels, plus the constant-currency operating profit line in each quarterly filing.

2. The unquantified items land together and guidance is cut in November. Up to ¥12bn of second-half cost pressure plus an unmeasured Kumamoto supply hit, both sitting outside an unrevised ¥155bn forecast, against a first half that delivered only 47.6% of the full-year number. A guidance cut into a stock at 1.03x book with no return-on-equity story takes it to the 52-week low or below. *Tripwire: monitorable* — the Q3 filing (~2026-11-11) and any interim guidance revision disclosure.

3. The parent quietly takes value out through terms we cannot see. (No monitorable tripwire.) A 59.48% private parent sets the terms of everything that crosses between the listed subsidiary and the unlisted group: brand royalties on Suntory-owned trademarks, procurement of concentrate and packaging, shared distribution, allocation of the Oceania venture's economics, and — as the Kumamoto note showed — contract manufacturing at group plants. None of these are separately disclosed at a level where we could detect a change, and Japanese related-party disclosure will not surface a gradual re-rate of an intercompany royalty. There is no filing, price level, or connector that alerts on this. **Unknown-unknown class: unobservable related-party value transfer inside a listed-subsidiary-of-private-parent structure.** The failure mode is that returns on equity stay at 7% forever not because the business is mediocre but because the parent is the one collecting the difference, and we would never see the mechanism — only a decade of book-value compounding that never re-rates.

The reflexive and structural leg. Our own size is not a market risk here and we should say so plainly: this stock traded 771,500 shares by early afternoon on 2026-09-04, implying roughly 1.2–1.5M shares a day, or about ¥5.5–6.8bn (~\$37–46M) of daily value. A 1% position against our deployable capital would be on the order of ¥5M — under 0.1% of a day's volume. We cannot move this stock and we are not bidding into our own predicted flow.

The real structural risk is doctrinal, and it points at us. Our standing rule is that a clean court with a fair price defaults to a small starter, and that “fair” is not by itself a reason to stay flat. This court is *not* clean — it produced two named kills (the products are in the wrong entity; the category is too small to matter) — but those kills are about a **thesis**, not about the **security**, and the security came out of court looking respectable: no debt, 8.1x, at book. The failure mode is that we let “no reason to reject the stock” quietly substitute for “a reason to own the stock,” and end up with a position whose entire return is Japanese beta plus a currency bet, with our scenario value sitting 0.2% from consensus. Two further interactions: 2026 is a harvest year with a large tax reserve owed, so any loss branch must land before December 31 to be useful, and this name has no overlap with the Parametric sleeve or the GOOGL wash-sale perimeter, so it neither helps nor hurts there.

If this position loses money, the most likely reason will be that we paid a fair price for a foreign-earnings translation book with no mechanism to improve returns on equity, and the yen strengthened.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The non-alcoholic beer brands are inside 2587	Suntory’s own product FAQ and new-product releases	All-Free, のんある気分, のんある酒場, まるで梅酒 are products of サントリー株式会社, the private alcohol arm. 2587 sells none of them.	No — the thesis premise is false. This is the kill.
“2587 collects exactly zero of the substitution economics” (our red bench’s absolute)	Read the segment table in the same filing our red bench cited	Oceania revenue ¥60,011M, +69.7% (+49.0% ex-currency) — the Suntory Oceania venture, which includes alcohol and non-alcohol. Our red bench read this filing and missed the line.	Bench error. Kill survives for Japan; the absolute is wrong.
The category is too small to matter	Fuji Keizai category data, checked at source by both benches	¥102.0bn / 354,000kL (2025) → ¥105.0bn / 361,000kL (2026F); ~3% growth	Yes
“100% of reported growth is currency translation” (our red bench)	Constant-currency lines in the H1 filing	Revenue grew +5.4% ex-currency , so the claim is overstated. But operating profit fell –5.4% ex-currency , and that decline <i>includes</i> the new Oceania business — so underlying decline is steeper than either bench first said.	Bench error, and the truth is worse on profit, better on revenue.
Analysts’ target is ¥4,300 (below spot), rating bearish,	Blue bench re-opened the exact page red cited	That page carries no target price and no rating , and ordinary profit consensus	Bench error — material. Red’s only valuation kill did

Claim	How checked	Found	Confirmed?
consensus cut 1.4% (our red bench, tagged fatal)		was unchanged . The companion page shows target ¥4,822 (+6.7%) , Neutral .	not exist. The stock is fairly priced, not expensive.
Enterprise value / net cash unresolved; the ¥470M non-current borrowing figure looked like a units error	Tied the balance sheet: cash ¥159,817M, borrowings ¥15,543M current + ¥470M non-current, total assets ¥2,294,954M, equity ¥1,354,262M, equity ratio 59.3%	The balance sheet ties . ¥470M is as printed. Net cash ≈ ¥144bn, EV ≈ ¥1,253bn, EV/operating profit 8.1x .	Yes — resolved against our own red bench's doubt
The Kumamoto plant hit is an asset impairment	Read the subsequent-events note verbatim	The filing says production is contracted (委託) at the group's Kumamoto plant — a supplier, not our fixed asset. Supply/volume risk only.	Severity reduced . Still outside unrevised guidance.
Governance is a live catalyst	Large-shareholding report, 2026-01-19	Zena 5.09%, purpose stated as pure investment ; Suntory HD 59.48%; Master Trust 6.72%	Yes — and therefore <i>not</i> a catalyst. Known since January.
Asahi's "20% non/low-alcohol by 2030" proves substitution economics	Asahi sustainability page (fetched via proxy after a 403)	It is a sales composition ratio on a sustainability page, with no revenue or margin attached. A ratio can be hit by shrinking the denominator — i.e. by losing premium beer volume.	Yes on the logic. But our red bench then asserted this was "margin-dilutive" with no margin data — that is an opinion, not a finding, and it is now unverified item 5.
Our pre-registered walk-around check (counting non-alcoholic shelf facings at convenience stores) could falsify this thesis	Method audit	It could not. 2587 stocks no non-alcoholic beer, so no shelf observation in either direction can reach its P&L. A disconfirmation channel that cannot disconfirm licenses false confidence.	Broken instrument . Re-register on adult soft drinks and tea, which 2587 does sell.
Both benches ran the detectors this case dispatched	Compared each bench's consulted list to the dispatch set	Our red bench graded six detectors that were not dispatched and skipped four that were. Neither bench had any detector capable of reading Japanese primary disclosure — every load-bearing fact here was pulled by hand.	Process failure, both directions . A <code>jp_tanshin_segment_pull</code> connector would have caught the Oceania miss <i>and</i> the enterprise-value doubt in this one case.
Is the ¥4,519 print real, or a thin after-hours mark?	Live regular-session quote, Tokyo, 13:08 JST 2026-09-04	¥4,517 regular session, prior close ¥4,531, volume 771,500. Three	Yes — no after-hours artifact

Claim	How checked	Found	Confirmed?
		independent reads: ¥4,517 / ¥4,519 / ¥4,520.	

PROPOSED ENTRY BANDS

No entry. Size 0. No orders. We hold no position and none is proposed. The two kills that matter — the products are in a different legal entity, and the category is too small — are not fixed by a lower price. Buying it cheaper would still not buy us the thesis.

Below are the **reopen bands** instead. Note carefully: bands (A) and (B) reopen *different cases*, and neither of them reopens the original non-alcoholic-beer thesis, which is closed permanently unless trigger (C) fires.

(A) Price reopen — for the separate “debt-free global soft-drink compounder” case only.

Book value per share is approximately ¥4,387 ($¥4,519 \div 1.03x$). We would reopen at: - **≤ ¥3,950** — about 0.90x book, roughly 6.9x enterprise value to operating profit, and below the 52-week low of ¥4,104. - **AND** a named mechanism for returns on equity to exceed 7.03%. Price alone is not sufficient. At 7% returns, a lower price is a lower price forever, not a discount. - Initial size if both conditions are met: **0.5% of book**, one tranche, with a second 0.5% only after a quarter of confirming data.

(B) Evidence reopen — Australia/New Zealand. At the Q3 filing (~2026-11-11), if the Oceania segment discloses **operating margin above the Japan segment’s 5.9%** or breaks out a zero-alcohol revenue line, this becomes a live case at any price up to ¥4,822 (the consensus target), size 0.5–1.0%, entered in calendar tranches rather than in one clip.

(C) Perimeter reopen — the original thesis. Only a Suntory Holdings or 2587 filing that **transfers the non-alcoholic beer brands into 2587**, or discloses licensing/distribution revenue booked by 2587 from those brands, revives it. Absent that filing, this thesis is closed.

(D) Do-not-buy zone. ¥4,519 to ¥4,822 with today’s facts. Our own expected value is ¥4,813 — we would be paying full expected value for zero differentiated view.

Catalyst dates: - 2026-11-11 — Q3 results. Derived from a data vendor, **not confirmed by company announcement**. Carries: Oceania margin, constant-currency operating profit direction, Kumamoto quantification, whether the ¥155,000M guide survives the second-half cost load. - **~2027-02 (estimated) — full-year results.** Date unconfirmed. - No print within the next 48 trading sessions. There is no urgency here.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4104.0 (deck-provisional: 52-week low - watch-only marker that the guidance-cut scenario is being priced)

- dated pack 2587.TI2026-11-11: 2587.T: Q3 FY2026 results - vendor-derived date, no company announcement names it (date confirmed=False)
- dated pack 2587.TI2027-02-12: 2587.T: estimated FY2026 full-year results - date not announced, placeholder from prior-year cadence (date confirmed=False)

What remains unverified

Every item below carries an estimate where it cannot be drained today.

1. **Suntory Oceania consolidation scope and accounting.** We can see Oceania revenue at ¥60,011M, +69.7%, and we have the venture announcement — but not how much of the venture 2587 consolidates, whether alcohol is inside 2587's perimeter, or at what margin. This is the single item that could change the case. *Estimate: full-year Oceania revenue ¥120–135bn, operating margin 8–12% — from annualising the first half and comparing against Frucor's historical standalone margin. Confidence 0.6.* Drains at Q3, ~2026-11-11.
2. **The August 6 call's Middle East cost figures (~¥6bn first half, “up to ¥12bn” second half).** Reported from a transcript neither bench could open at source. If real, it is 7.7% of the full-year operating profit guide sitting outside an unchanged forecast. *Estimate: full-year incremental resin and freight cost ¥10–18bn — from the reported first-half figure plus the filing's unquantified “higher raw material and logistics costs” language. Confidence 0.6.* Drainable now via the investor-relations presentation PDF or a transcript vendor.
3. **Kumamoto earthquake impact.** The company says “under investigation.” Affects Tennensui, the largest Japanese brand, at a contracted plant. *Estimate: ¥2–6bn revenue impact, ¥0.5–2.0bn operating profit impact — scaled from Tennensui's likely share of the ¥360bn Japan segment and typical single-plant outage durations. Confidence 0.5.* Drains at Q3.
4. **The Q3 print date itself.** ¥2026-11-11 is vendor-derived; no company announcement names it. *Drainable now* from the investor-relations calendar.
5. **Asahi's non-alcoholic gross margin versus beer-type.** Our red bench called the substitution “margin-dilutive cannibalisation” without a single margin figure — that assertion is unverified, and it is not obviously true. Japanese beer carries a liquor tax (order of ¥50–65 per 350ml, on a unification schedule ending around October 2026 — *that figure is itself unverified*) which non-alcoholic products avoid entirely. Lower shelf price but no liquor tax could leave gross margin comparable or better. *Estimate: non-alcoholic gross margin within ±5 points of beer-type on a tax-exclusive basis, with 20–35% lower net revenue per litre. Confidence 0.4.* Not disclosed by Asahi; would need a company-provided breakout.
6. **Asahi's January–June 2026 non-alcoholic volumes.** A secondary summary claimed market +7% and Dry Zero +11%; neither bench could verify it and neither used it. *Estimate: category volume +2–4%, consistent with the verified Fuji Keizai trend; the +7% claim is likely a value or a single-brand figure mis-stated as market volume. Confidence 0.5.* Drainable now from Asahi's own first-half presentation.
7. **Whether a tradeable options chain exists for 2587 at our broker.** This determines whether the instrument section below can be finished properly. *Estimate: probability a liquid single-name chain is accessible to us, 0.15 — Japanese single-stock options are listed for only a narrow set of names and are thinly traded. Confidence 0.15.* Drainable now via the broker.

8. **Average daily volume.** We only have an intraday reading of 771,500 shares by early afternoon. *Estimate: 1.2–1.5M shares/day, ¥5.5–6.8bn — extrapolated from the partial session. Confidence 0.7.* Drainable now via the broker.
9. **Zena Investment Management’s actual intent.** Filed as pure investment; intent is private and unobservable. *Estimate: probability of a change-of-purpose filing to a proposal-making stake within 12 months, 0.12 — base rate for pure-investment filings converting in Japanese listed subsidiaries with a controlling parent, which is low precisely because the 59.48% block makes activism futile. Confidence 0.5.* Not drainable; only an amendment filing resolves it.

PRIZE TABLE + VOL READ

Required because items 1, 3 and 9 are genuinely time-gated or private. **Anchor: consensus target ¥4,822 (+6.7%). Spot ¥4,519.** Twelve-month horizon.

Scenario	What happens	Probability	Price
Bear	Second-half cost load lands, Kumamoto adds to it, guidance is cut. Constant-currency profit stays negative. De-rates to ~0.89x book.	0.25	¥3,900
Base	Guidance roughly held, returns on equity stay ~7%, stock tracks book and the dividend.	0.45	¥4,750
Bull	Oceania discloses margin above Japan’s 5.9% and/or a zero-alcohol line; constant-currency profit turns positive; re-rates toward 1.23x book.	0.20	¥5,400
Blue sky	An actual returns mechanism appears — portfolio reshaping, parent action, or Zena changing purpose.	0.10	¥6,200

Expected value = ¥4,813 (+6.5% from spot).

Anchor check. Our expected value is ¥4,813 against the consensus anchor of ¥4,822 — a deviation of **−0.2%**, far inside the $\pm 5\%$ band that would require us to name a mechanism. We have no mechanism because we have no disagreement. *That is the finding.* A scenario table that reproduces the sell-side target is a table with no edge in it.

Volatility read. The 52-week range is ¥4,104–¥5,399, about 32% of the low, which is consistent with roughly **20% annualised realised volatility** for a Japanese staples name (estimated from range, not computed from a return series — flagged as approximate).

Our table's own dispersion: standard deviation ¥687, or $\sigma_{\text{table}} = 15.2\%$ over twelve months. So our scenario set is *narrower* than the stock's own realised movement. We are not forecasting more excitement than the tape already delivers — another way of saying we have no view worth expressing.

Expression math, shown. Take a hypothetical twelve-month ¥5,000 strike call (11% out of the money): - Value from our own table: $C_{\text{ours}} = 0.20 \times (5,400 - 5,000) + 0.10 \times (6,200 - 5,000) = 80 + 120 = ¥200$ (4.4% of spot). - Model value at 20% volatility, 2.65% dividend yield, ~1% yen rates: $\approx ¥160$. - On that arithmetic the call looks cheap by ~¥40, because our table is right-skewed even though its total dispersion is low.

We are not acting on that number, and here is why, plainly. The ¥160 is a *model* price computed off a volatility we assumed, not a midpoint from a real chain. Our standing rule after the TSSI episode is that instrument decisions must come from chain-level midpoint quotes on the specific strikes, never from an assumed or aggregate volatility input — those two diverged by 30 points last time and reversed the answer. We have not confirmed that a tradeable chain for 2587 even exists at our broker (unverified item 7, estimated probability 0.15). A ¥40 apparent edge computed entirely from our own assumptions is not an edge; it is our own input read back to us.

Volatility risk premium: cannot be stated — no quoted implied volatility, therefore no implied-minus-realised number and no percentile.

Tax overlay. A twelve-month expiry lands past December 31, 2026. 2026 is a harvest year with a substantial tax reserve owed against realised gains, so the loss branch of any such option would defer into 2027 and be useless to this year's harvest. Under our rule, that excludes it unless the edge numerically dominates — and a ¥40 model-derived edge on an unquoted chain does not come close.

Instrument output: NONE. Not stock (expected value equals the anchor). Not calls (no verified chain, edge is assumption-derived, loss branch lands in the wrong tax year). Not covered calls or cash-secured puts (we hold nothing to write against, and premium selling in the taxable account requires gates this name does not meet). The correct expression of a 0.2% disagreement with consensus is no position.

Primary sources. H1 FY2026 results filing, Tokyo Stock Exchange TDnet, 2026-08-06: <https://www.release.tdnet.info/inbs/140120260806511864.pdf> — revenue ¥899,879M, operating profit ¥73,965M, constant-currency operating profit –5.4%, segment table, borrowings ¥15,543M + ¥470M, cash ¥159,817M, equity ¥1,354,262M, 309,000,000 shares, Kumamoto contracted-plant note, guidance unchanged. Brand ownership: <https://www.suntory.co.jp/customer/faq/005832.html> and <https://www.suntory.co.jp/news/article/2026/15017.html>. Consensus and multiples:

<https://kabuyoho.jp/sp/reportTop?bcode=2587>. Category data (Fuji Keizai):

<https://newswitch.jp/p/47973>. Oceania venture: [https://www.beamsuntory.com/en/news/Suntory-](https://www.beamsuntory.com/en/news/Suntory-Oceania-Launched-ANZ)

Oceania-Launched-ANZ. Live tape: <https://finance.yahoo.co.jp/quote/2587.T>.

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ADJUDICATION STAMP — 2026-09-04 (FABLE) — PAIRED NA-SUBSTITUTION RULING

THESIS REJECTED on both expressions; no entry, size 0; both FLATs licensed by named novel kills. Neither listed vehicle collects the observed NA-substitution economics: the loved SKUs book to PRIVATE Suntory Ltd (2587's Japanese perimeter kill stands; its price gate was OVERTURNED — 8.1x EV/OP, 1.03x book, debt-free is FAIR, and fairly-paid is not a kill), and Asahi's own monthly series prints the NA line at +5% on a sub-2%-of-group base while beer-adjacent ran +1% (the clean kill). Live carry-forwards: 2587's Suntory Oceania consolidation (+69.7% segment) = a displaced NA vehicle — Q3 tanshin ~11/11 pack armed for the zero-alc disclosure that would earn a FRESH court; 2502's Oct-1 beer-tax-unification mix read (packs 10/15 + 11/5) can spawn a NEW premiumisation court that this FLAT does not prejudice; the 2587 debt-free-compounder thesis is filed separately behind an ROE gate (7.03% $\approx$ cost of equity today). KG: 5 accepted incl. private_parent_holds_the_loved_brand; esg_target_horizon_slip REJECTED as a denominator-swap artifact. Walk-around pre-registered: konbini NA shelf share, disconfirmation-first, graded against the monthlies. Full ruling:
desk/data/court_artifacts/NA_SUBSTITUTION_ADJUDICATION_202609040500.md.